IL Cash Assure Rider (U206)

(IL Unit Deduction Rider – Investment Linked Insurance Plan)

Plan Name : **IL Cash Assure Rider**
Plan code : U206
Product Abbreviation : IL CAR
Target Launch Date : 1 April 2021
Offer Period : 1st Tranche: 1 April 2021 – 31 July 2021
2nd Tranche: 22 September 2021 – 31 December 2021
Remain on the shelf as permanent rider from 1st January 2022 onwards.

PLAN DESCRIPTION

1. This is a unit deduction rider that is only attachable to the following basic plans with the different basic plans' premium payment term & rider's insurance charge deduction term:

Basic Plan	Basic plan's PPT	Rider's Insurance Charge Term	IL GCP Rider	
			20	30
SmartProtect Legacy Max (0494)	5	5	√	√
	10	10	√	√
SmartProtect Sure (0509)	5	5	√	√
	10	10	√	√

2. Customer can choose the rider sum assured, which is the yearly GCP amount to be payable.
3. Insurance charges will be deducted from the unit fund(s) monthly over a limited period only.
4. This rider can only attached at new business stage.
5. This rider cannot co-exist with IL Invest Assure Rider (U183)

BENEFITS

1. Guaranteed Cash (GCP) Benefit
Provide yearly guaranteed income according to the GCP description below.

2. Death Benefit
In the event of death of the Life Assured, the Company shall pay the total remaining GCP in one lump sum. Thereafter, rider will be terminated.

3. TPD Benefit
In the event of Total and Permanently Disability (TPD) of the Life Assured before the policy anniversary on which the Life Assured attains the age of 70 years next birthday, the Company shall pay the total remaining GCP in one lump sum. Thereafter, rider will be terminated.

TPD Benefit payable shall not exceed RM10,000,000. The Company will pay in 3 annual instalments with the first being a lump sum of the TPD benefit or RM2,000,000 whichever is lesser, and the balance of the TPD benefit (if any) will be payable in 2 equal annual instalments.

The maximum TPD Benefit payable under this and all policies and riders on the same life, is RM10,000,000 per life (excluding group policies).

4. Retrenchment Benefit
During the first two policy years, in the event of retrenchment of policyholder occurs before the policy anniversary on which the policyholder attains the age of 60 years next birthday, the

Company shall pay an additional 5 times of annual GCP in one lump sum, subject to a maximum of RM10,000 per life.

"**Retrenchment**" shall mean the policyholder's full-time employment has been terminated by the employer due to redundancy and:
(a) In the case of a policyholder who is a Malaysia citizen or Malaysia Permanent Resident, the employer ceases to make regular contribution to the Employee Provident Fund of the Policyholder; or
(b) In the case of a policyholder who is not a Malaysia citizen or Malaysia Permanent Resident) the policyholder's valid pass to work in Malaysia as issued by the Immigration Department of Malaysia has been cancelled.

Notes:
i. This benefit is only claimable once.
ii. Policyholder must be retrenched and remains unemployed for a period of at least 2 months, and policyholder was not receiving or entitled to any income from any other form of employment at all during such period of unemployment.

GUARANTEED CASH PAYMENT DESCRIPTION

1. GCP Payment Frequency (TBC)
Fixed amount. Payable yearly starting from the end of 1st policy year throughout the rider's term.

2. GCP Pay Out
GCP will be used to repay any Indebtedness. The balance of the GCP shall be paid out in cash.

UNDERWRITING GUIDELINES

1. Minimum/Maximum Age at Entry
Minimum : 14 days attained age
Maximum : 70 years next birthday

2. Rider Term (Years)

Basic Plan	Basic plan's PPT	Rider's Insurance Charge Term	IL GCP Rider	
			20	30
SmartProtect Legacy Max (0494)	5	5	√	√
	10	10	√	√
SmartProtect Sure (0509)	5	5	√	√
	10	10	√	√

Notes:
i. Rider's insurance charge term must be same as basic plan's premium payment term.
ii. Rider's term shall not be longer than basic plan's coverage term.
iii. Not available for basic plan with premium payment term other than 5 years and 10 years.

3. Minimum/Maximum GCP
Minimum: RM 500, in multiple of RM100
Maximum: Subject to underwriting

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4. **Non-Medical Limits**
   Sum of GCP of remaining rider coverage term. At inception, the GCP would be 100% GCP*Rider Coverage Term.

OTHER OPTIONS

1. **Increase in GCP**
   No increase of GCP is allowed.

2. **Decrease in GCP**
   The GCP can be decreased at any time subject to the minimum GCP limit and provided no claim has been admitted. Decrease of GCP will be treated as partial surrender and Guaranteed Cash Value for the reduced GCP shall be payable.

3. **Change of Rider Term (at CS stage)**
   Not allowed.

4. **Inclusion of Rider (at CS stage)**
   Not allowed

5. **Auto Extension**
   Not allowed.

DISCOUNT

1. **Large Sum Discount**
   Not applicable.

2. **Female Discount / Non-Smoker Discount**
   Not applicable.

3. **Insurance Discount (TBC)**
   Discount 20% on rider insurance charges in the 1st 2 year.

INSURANCE CHARGE

1. Insurance Charge is level and guaranteed and will be deducted for 5 years or 10 years, following the basic plan's premium payment term.

2. Insurance Charge will vary according to attained age next birthday at entry and rider term.

3. Insurance Charge is deducted monthly by cancellation of units at the beginning of each policy month based on the rider's Sum Assured/GCP amount and calculated using the formula below or until occurrence of a valid claim event, whichever is earlier.

$$\text{Monthly Insurance Charge} = \frac{\text{Insurance Charge Rate Per Annum} \times \text{RSA}}{1000 \times 12}$$

**Refer to Appendix 2 for the indicative insurance charges rates table.*

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OTHER PRODUCT FEATURES

Surrender
Guaranteed Cash Value (CV) will be payable upon:
i) Surrender / termination / decrease of GCP of this rider; or
ii) Surrender of the basic plan

Guaranteed CV payable will be used to repay any indebtedness before payout.

In the event the Total Investment Value (TIV) is insufficient to deduct for policy fees and insurance charges, such unpaid policy fees and insurance charges shall be deducted from the rider's GCV if the rider has acquired GCV and Company shall charge interest at the prevailing interest rates same as APL interest rate.

Reinstatement
Allowed. Follow basic plan's allowable reinstatement period. However, Insurance Charge of this rider during the lapsed period will be deducted from unit fund(s) upon reinstatement.

Backdating / Automatic Premium Loan / Policy Loans / Bonus Rate / Agency Compensation / Paid-up Values / Extended Term Assurance
Not applicable.

Assignment / Nomination / Third Party Policy / Reinstatement
Follow basic plan.

Free Look Period
Policyholder is allowed to cancel this rider within 15 days. Under such circumstance, the Company will reinstate the units which have been deducted for the payment of Insurance Charge after net of medical expenses incurred by the Company (if any) in the issuance of this rider.

Riders Allowed
Not applicable.

EXCLUSIONS

No payment of benefits will be payable for any of the following:

1. Suicide, while sane or insane within 1 year from the risk effective date.
2. TPD that has existed prior to the risk effective date.
3. TPD caused directly or indirectly by self-inflicted injuries, while sane or insane.
4. TPD resulted from the life assured committing, attempting or provoking an assault or a felony or from any violation of law by life assured.
5. TPD resulted from the life assured driving a motor vehicle without possessing a valid driving license. This exclusion will not apply if the Life Assured has an expired license but is not disqualified from holding or obtaining such driving license under any laws, by-laws or regulations;
6. TPD resulted from war, whether declared or undeclared.
7. TPD caused by bodily injury sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of a licensed commercial airline operating on a regular scheduled route.

No payment of Retrenchment Benefits will be payable for any of the following:

1. The Policyholder is retrenched within 6 months from the risk effective date.
2. The Policyholder was, prior to the risk effective date aware that he/she would be retrenched;

3. The Policyholder was self-employed, or was an independent contractor or sole proprietor immediately before being retrenched;
4. The employer of the Policyholder is a relative;
5. At or around the time of retrenchment of the Policyholder, the Policyholder and/or any relative(s) (whether singly, jointly or in the aggregate) was/were in a position to exercise control or influence over the appointment and/or termination of employees by the employer;
6. The termination of the Policyholder's full-time employment arose out of:
   - retirement;
   - resignation;
   - termination or suspension due to the Policyholder's breach of the terms of employment, or the Policyholder's own misconduct or negligence;
   - unlawful behaviour;
   - natural expiry of the employment contract;
   - leave of absence whether paid or unpaid;
   - any voluntary forfeiture of income by the Policyholder;
   - failure to continue employment upon completion of probation period; or
   - disability, illness, accident or any other medical reasons (whether psychological and/or physical);
7. The Policyholder was retrenched from a full-time employment for which the Policyholder had not worked at for at least six (6) consecutive months immediately prior to the retrenchment.

Note: The exclusion list may not be exhaustive. For full list of the exclusions, please refer to the policy contract.

APPENDICES

Appendix 1 Insurance Charges

Age	COI Term	Rider Term	COI per 1000 GCP SA
1-35	5	20	3,650
1-35	5	30	4,845
1-35	10	20	1,908
1-35	10	30	2,610
36-45	5	20	3,673
36-45	5	30	4,896
36-45	10	20	1,919
36-45	10	30	2,634
46-55	5	20	3,736
46-55	5	30	5,029
46-55	10	20	1,950
46-55	10	30	2,698
56-65	5	20	3,892
56-65	5	30	5,335
56-65	10	20	2,025
56-65	10	30	2,845
66-70	5	20	4,022
66-70	5	30	5,577
66-70	10	20	2,083
66-70	10	30	2,961